

Canada Bread Company, Limited

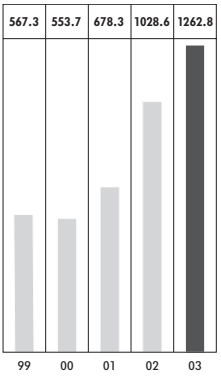
Interim Report to Shareholders

for the **First Quarter** ended March 31, 2004

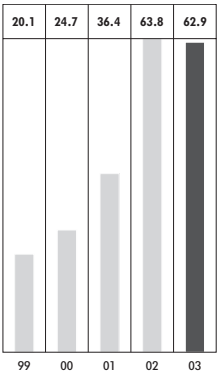
Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the first quarter of the year ended March 31, 2004, and the years ended December 31, 2003 and 2002 (millions of dollars except per share amounts).

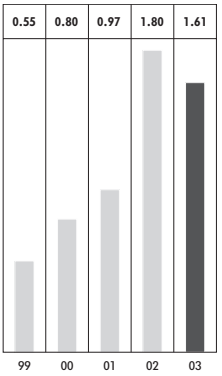
2004	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	YTD
Sales	$ 305	$ —	$ —	$ —	$ 305
Earnings from operations	19	—	—	—	19
Net earnings	13	—	—	—	13
Net earnings per share (basic)	0.49	—	—	—	0.49
Net earnings per share (diluted)	0.48	—	—	—	0.48
2003					
Sales	$ 309	$ 313	$ 324	$ 317	$ 1,263
Earnings from operations before restructuring costs	14	15	17	17	63
Earnings from operations	7	15	17	17	56
Net earnings before restructuring costs	8	9	11	12	40
Net earnings	3	9	12	12	36
Net earnings per share before restructuring costs	0.34	0.36	0.44	0.47	1.61
Net earnings per share (basic)	0.14	0.36	0.44	0.47	1.42
Net earnings per share (diluted)	0.14	0.35	0.44	0.46	1.39
2002					
Sales	$ 231	$ 256	$ 273	$ 269	$ 1,029
Earnings from operations	11	17	19	17	64
Net earnings	7	10	12	10	39
Net earnings per share	0.30	0.47	0.55	0.48	1.80



SALES
(millions of dollars)



EARNINGS FROM OPERATIONS
Before restructuring costs
(millions of dollars)



EARNINGS PER SHARE
Before restructuring costs
(dollars)

Sales for the first quarter of $305.4 million compared to $309.0 million for 2003, while earnings from operations before restructuring costs in 2003 increased 37% to $19.4 million from $14.2 million last year. All earnings from operations comparisons exclude $7.4 million in restructuring costs in the first quarter of 2003, as management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings. During the quarter, wheat prices increased significantly from the same period last year, resulting in higher flour prices; however, price increases implemented in late 2003 and in the first quarter of 2004 mostly offset these and other rising input costs.

Net earnings for the first quarter before restructuring costs increased 54% to $12.5 million or $0.49 per share, compared to $8.1 million or $0.34 per share last year (after restructuring costs, 2003 net earnings were $3.3 million or $0.14 per share).

Interest expense for the first quarter decreased to $1.4 million from $2.6 million last year, due to lower interest rates and lower debt levels. The effective tax rate for the first quarter was 31% compared to 23% last year. The tax rate differential is primarily the result of a change in mix of earnings in foreign jurisdictions.

Cash flow from operating activities for the first quarter increased to $28.4 million compared to a use of cash of $3.4 million last year. The significant improvement is due to higher earnings for the current quarter and reduced working capital balances of $18.4 million compared to last year, primarily from an increase in the Company's accounts receivable securitization program.

FRESH BAKERY
(fresh bakery products; specialty fresh pasta and sauces)

Fresh Bakery sales for the first quarter decreased 1% to $210.6 million compared to $212.5 million last year.

Earnings from operations before restructuring costs in 2003 increased 4% to $9.9 million compared to $9.5 million last year. Fresh Bakery earnings were positively impacted by improved product mix and margins in most regions. This performance was somewhat offset by challenges in Atlantic Canada bakeries resulting from the consolidation of production and distribution operations in 2003. Progress was made during the first quarter to address these issues and management expects improving results over the course of the year. In January, *Bon Matin Healthy Way* organic breads were launched in Quebec, which together with the existing Bon Matin line has doubled the size of the organic bread category in Quebec.

The recent trend in North America towards lower carbohydrate diets did not have a material impact on the Company's operations in the first quarter, however, the Company is beginning to see a softening in the commercial white bread market in the second quarter, which management believes is related to reduced carbohydrate diets. The Company is well positioned to face this trend due to its strong market position in whole grain and other healthy bread products, as demand for these products tends to increase in nutritionally sensitive markets. For example, the Canadian market in the whole grains segment increased 7% in the quarter compared to a decline of 1% in the overall commercial bread category. The Company launched lower carbohydrate

alternative products in late 2003, and volume sales growth of *Dempster's Carb Wise* and *Healthy Way Carb Conscious* breads was very strong throughout the first quarter of 2004.

Frozen Bakery
(frozen bakery products; including frozen par-baked and specialty bakery products)

Frozen Bakery sales for the first quarter decreased 2% to $94.8 million compared to $96.4 million last year, due to the impact of the stronger Canadian dollar on U.S. dollar-denominated sales. After adjusting for this exchange rate effect, sales for the first quarter increased by 7% compared to last year.

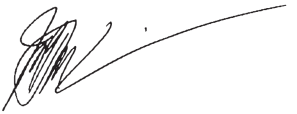
Earnings from operations increased 103% to $9.5 million from $4.7 million last year. Frozen Bakery earnings were positively impacted by strong food service sales that more than offset the adverse sales impact of work stoppages at several U.S. retail customers. Improved product mix, higher volumes and price increases have also helped to offset rising input costs. The U.K. Bakery operations achieved significant sales and earnings growth. Commissioning of a new facility in Cumbria, England will expand production capacity to meet increasing demand for specialty bakery products. The Company will be adding significant incremental bagel capacity in its U.K. operations. The £10.4 million expansion is expected to be fully operational in the first quarter of 2005.

The Company declared a dividend of $0.06 per share payable on July 2, 2004 to shareholders of record on June 11, 2004.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

April 28, 2004

Consolidated Balance Sheets

In thousands of Canadian dollars	As at March 31, 2004	As at March 31, 2003	As at December 31, 2003
ASSETS	*(Unaudited)*	*(Unaudited)*	
Current assets:			
Cash	**$ 31,297**	$ 6,943	$ 11,528
Accounts receivable (note 3)	**24,186**	47,956	44,699
Due from Maple Leaf Foods	**2,405**	—	—
Inventories	**34,834**	30,019	33,205
Future tax asset current	**6,137**	8,304	5,838
Prepaid expenses	**2,693**	2,349	2,081
	101,552	95,571	97,351
Property and equipment	**335,315**	325,701	335,811
Other long-term assets	**2,381**	3,931	2,657
Goodwill and other intangibles	**342,626**	333,336	341,814
Future tax asset non-current	**2,124**	—	2,321
	$ 783,998	$ 758,539	$ 779,954
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities:			
Accounts payable and accrued charges	**$ 142,157**	$ 137,336	$ 151,134
Due to Maple Leaf Foods	**—**	8,924	443
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**3,453**	8,512	4,392
Current portion of long-term debt	**700**	7,066	26,941
	147,835	163,363	184,435
Long-term debt	**156,282**	148,821	126,710
Future tax liability	**31,197**	33,638	31,382
Shareholders' equity	**448,684**	412,717	437,427
	$ 783,998	$ 758,539	$ 779,954

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except per share amounts *(Unaudited)*	Three months ended March 31, 2004	2003
Sales	**$ 305,412**	$ 308,992
Earnings from operations before restructuring costs	**19,378**	14,185
Restructuring costs (note 2)	**—**	(7,422)
Earnings from operations	**19,378**	6,763
Other income	**112**	111
Earnings before interest and income taxes	**19,490**	6,874
Interest expense	**1,387**	2,578
Earnings before income taxes	**18,103**	4,296
Income taxes	**5,554**	978
Net earnings for the period	**$ 12,549**	$ 3,318
Earnings per share – basic	**$ 0.49**	$ 0.14
Earnings per share – diluted	**$ 0.48**	$ 0.14
Dividends per share declared	**$ 0.06**	$ 0.06
Weighted average number of shares (millions)	**25.4**	24.1

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars except per share amounts *(Unaudited)*	Three months ended March 31, 2004	2003
Retained earnings, beginning of period	**$ 277,279**	$ 247,746
Net earnings for the period	**12,549**	3,318
Dividends declared ($0.06 per share; 2003 – $0.06 per share)	**(1,525)**	(1,525)
Retained earnings, end of period	**$ 288,303**	$ 249,539

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Three months ended March 31, 2004	2003
CASH PROVIDED BY (USED IN):		
Operating activities		
Net earnings for the period	**$ 12,549**	$ 3,318
Items not affecting cash:		
Depreciation	**10,444**	9,552
Future income taxes	**(288)**	(3,571)
Gain on sale of property and equipment	**(74)**	(77)
Changes in non-cash operating working capital	**5,806**	(12,635)
	28,437	(3,413)
Financing activities		
Dividends paid	**(1,525)**	(1,285)
Increase in long-term debt	**4,210**	74,171
Decrease in long-term debt	**(1,439)**	(175,279)
Increase in share capital	**—**	106,000
	1,246	3,607
Investing activities		
Additions to property and equipment	**(10,602)**	(5,780)
Proceeds from sale of property and equipment	**688**	140
	(9,914)	(5,640)
Increase (decrease) in cash and cash equivalents for the period	**19,769**	(5,446)
Cash and cash equivalents, beginning of period	**11,528**	12,389
Cash and cash equivalents, end of period	**$ 31,297**	$ 6,943

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Segmented Financial Information

In thousands of Canadian dollars *(Unaudited)*	Three months ended March 31, 2004	2003
Sales		
Fresh Bakery	**$ 210,630**	$ 212,543
Frozen Bakery	**94,782**	96,449
	$ 305,412	$ 308,992
Earnings from Operations Before Restructuring Costs		
Fresh Bakery	**$ 9,915**	$ 9,517
Frozen Bakery	**9,463**	4,668
	$ 19,378	$ 14,185
Capital Expenditures		
Fresh Bakery	**$ 4,822**	$ 3,022
Frozen Bakery	**5,780**	2,758
	$ 10,602	$ 5,780
Depreciation and Amortization		
Fresh Bakery	**$ 5,321**	$ 4,767
Frozen Bakery	**5,123**	4,785
	$ 10,444	$ 9,552

In thousands of Canadian dollars	As at March 31, 2004	2003	As at December 31, 2003
	(Unaudited)	*(Unaudited)*	*(Audited)*
Total Assets			
Fresh Bakery	**$ 391,611**	$ 378,534	$ 390,624
Frozen Bakery	**375,668**	358,117	363,483
Non-allocated assets	**16,719**	21,888	25,847
	$ 783,998	$ 758,539	$ 779,954

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Notes to Consolidated Financial Statements

(For the quarters ended March 31, 2004 and March 31, 2003)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2003. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2003.

a) Segmented Information

As of January 1, 2004, to reflect its new organizational structure, the Company has segmented results into two operating segments: Fresh Bakery Group and Frozen Bakery Group. The Fresh Bakery Group comprises fresh bakery products and specialty fresh pasta and sauces. The Frozen Bakery Group comprises frozen bakery products; including frozen par-baked and specialty bakery products. Prior periods have been restated for comparability.

b) Hedging Relationships

As discussed in note 2(l)(i) of the annual consolidated financial statements for the year ended December 31, 2003, the Company is in compliance with CICA Accounting Guideline 13.

c) Accounting for Asset Retirement Obligations

In March 2003, the CICA issued a new accounting standard, Section 3110, "Accounting for Asset Retirement Obligations". The new standard requires companies to record the fair value of an asset retirement obligation as a liability in the period in which they incur a legal obligation associated with the retirement of tangible long-lived assets that results from the acquisition, construction, development and/or normal use of the asset. Companies are also required to record a corresponding amount as an asset that is depreciated as a charge to earnings over the life of the asset. Companies are required to adopt Section 3110 for fiscal years beginning on January 1, 2004. The Company has assessed the impact of this new standard and determined there is no material impact.

d) Comparative Figures

Certain 2003 comparative figures have been reclassified to conform with the financial statement presentation adopted in 2004.

2. Restructuring Costs

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At March 31, 2004, trade accounts receivable amounting to $66.8 million (March 31, 2003 – $50.0 million) had been sold under these programs.

4. Derivatives

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, operating earnings would have been lower by $0.1 million and interest expense would have been higher by $0.7 million for the first quarter of 2004.



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